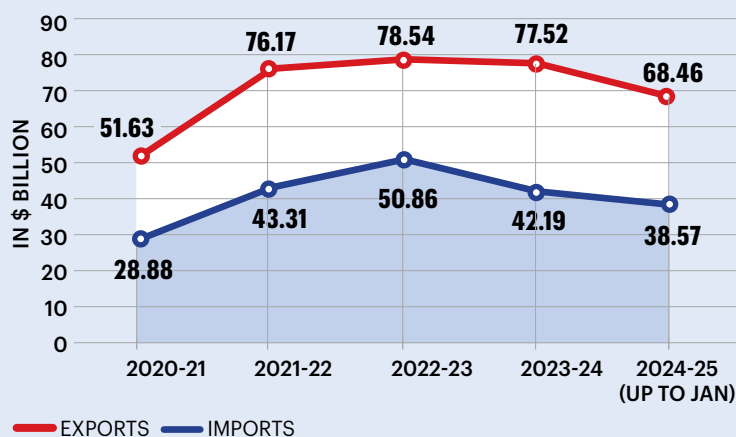


INDIA-US TRADE BALANCE



INDIA'S TOP 10 EXPORT DESTINATIONS

USA	19.09%
UAE	8.36%
NETHERLANDS	5.32%
UK	3.35%
CHINA	3.2%
SINGAPORE	3.16%
SAUDI ARABIA	2.71%
BANGLADESH	2.62%
GERMANY	2.41%
AUSTRALIA	1.94%

SOURCE DEPARTMENT OF COMMERCE

TOP 5 EXPORTS TO THE US

% SHARE

ELECTRONICS	14.3%
GEMS AND JEWELLERY	12.8%
PHARMA PRODUCTS	10.4%
NUCLEAR REACTORS, PARTS, MACHINERY ETC	8%
GEMS AND REFINED PETROLEUM PRODUCTS	7.5%

SOURCE EMKAY RESEARCH



TOP 5 IMPORTS FROM THE US

% SHARE

CRUDE OIL, NATURAL GAS, COAL	30.7%
PEARLS, PRECIOUS STONES	12.2%
NUCLEAR REACTORS, PARTS, MACHINERY	8.9%
ELECTRONICS	5.6%
AIRCRAFT, SPACECRAFT AND PARTS	5.3%

SOURCE EMKAY RESEARCH

first tranche of which is expected to be completed by September or October, will eventually earn India a reprieve from the reciprocal tariffs. Rather than a knee-jerk reaction, officials note that patience is of the essence.

“India is not looking to retaliate with tariff action like the EU and China, but domestic interests in sectors like agriculture and dairy will be safeguarded in the BTA,” underlines a senior official.

India's strategy seems to be firmly pinned on a successful negotiation of the BTA with cuts on several items that are of interest to the US in the first phase,

expanding trade ties with other countries, keeping a tight lid on dumping of goods by other countries such as China that could also hamper the domestic market, and extending support to exporters as and where required. There are indications that a new export promotion scheme may be announced in the coming months.

Exporters have also urged the government to extend several schemes that can help them meet working capital costs and get interest subvention. While the interest equalisation scheme ended on December 31, 2024, other export support schemes

such as the RoDTEP (Remission of Duties and Taxes on Exported Products) are set to lapse on September 31.

THE IMPACT

The first order of business for Indian companies was the immediate release of shipments waiting for despatch. All shipments to the US that were in the pipeline by April 9 were prioritised as they would not be subject to higher tariffs, says Ajay Sahai, Director General & CEO, FIEO, adding that in most cases further orders are on hold.

“The global economic outlook